

legally binding agreement between you and the financial institution about these characteristics.

Advantages of fixed deposits

Fixed deposits have several benefits over other investment methods.

Some of these are:

1. Your money is safe

Your deposits are safe in banks. These deposits are insured under the Deposit Insurance and Credit Guarantee Scheme of India.

2. No risk is involved

Fixed deposits are more suitable for small investors and even for beginners, because risk is not a factor. As the market fluctuations never affect fixed deposit, you can earn a steady income from this type of investment.

3. Depositing and withdrawal procedure is simple

You can start a fixed deposit with a small amount, may be as small as 500 rupees. You just have to fill out the required forms and hand over the money to get the certificate of deposit in a matter of minutes. Internet banking even allows you to do the same much faster from the comfort of your home. The withdrawal procedure is also simple. You just have to hand over the signed Certificate of Deposit (CD) to the banker and your money will be deposited to your savings bank account.

I personally use the online method of creating new fixed deposits with an option to auto transfer to my savings account as soon as the fixed deposit matures. It's an instant method of FD creation where you chose the time period, (and hence interest rates), amount, bank, branch etc., and then you get an FD advice in your email with a click of a button. I use this feature regularly